SAINT PAUL'S SCHOOL, RAJKOT

First Pre-board Examination, Jan. 2025

Grade : XII Sub : Economics

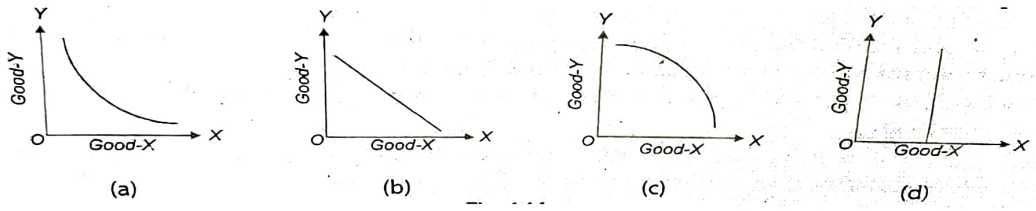
Date : 08 /01/ 2025
Marks : 80
Time : 3 Hrs.

Answer all questions in **Section A, Section B and Section C.**
Section A consists of **objective/very short** answer type questions.
Section B consists of **short** answer questions.
Section C consists of **long** answer questions.
The intended marks for questions or parts of questions are given in brackets [ ].

SECTION A – 16 MARKS

Question 1

(i) Diminishing marginal rate of substitution can be represented graphically by which of the following curves: [1]



(ii) For a stable and unique consumer's equilibrium, MRSxy should be _____. [1]
(a) constant (b) increasing (c) diminishing (d) positive

(iii) Demand for a firm's product will be highly elastic in a market where – [1]
(a) no substitutes are available (c) some more substitutes are available
(b) a few substitutes are available (d) infinitely large number of substitutes are available

(iv) Which of the following can be used to correct the situation depicted below? [1]

(a) Decrease in Tax Rate (c) Purchase of Government Securities
(b) Reduction in Government Expenditure (d) Export Promotion

(v) _____ indicates the borrowing requirements of the Government. [1]

(a) Primary deficit (b) Revenue deficit (c) Fiscal deficit (d) Budgetary deficit

(vi) Which of the following items will be recorded on the debit side of Balance of Payments account of a country? [1]

(a) Loan from IMF
(b) Purchase of shares of Tata Motors by non-residents
(c) Unilateral transfers made to abroad
(d) Export of tea to England

(vii) Monopolistic competition is a form of market in which there are large number of sellers of a product with each seller selling: [1]

(a) homogeneous product
(b) differentiated products which are entirely different from each other
(c) perfect substitutes
(d) differentiated products which are close substitutes to the product of others

(viii) Given below are two statements marked as Assertion and Reason. Read the statements carefully and choose the correct option. [1]

Assertion: Total costs keep on rising as the level of output keeps on increasing.

Reason: Average costs keep on falling as the level of output keeps on rising.

(a) Both Assertion and Reason are true and Reason is the correct explanation of Assertion.
(b) Both Assertion and Reason are true and Reason is not the correct explanation of Assertion.
(c) Assertion is true but Reason is false.
(d) Assertion is false but Reason is true.

(ix) Given below are two statements marked as Assertion and Reason. Read the statements carefully and choose the correct option. [1]

Assertion: Disinvestment and Licence Fees is a combination of non-tax revenue for the government.

Reason: Non-tax revenue is the recurring income earned by government other than taxes.

(a) Both Assertion and Reason are true and Reason is the correct explanation of Assertion.
(b) Both Assertion and Reason are true and Reason is not the correct explanation of Assertion.
(c) Assertion is true but Reason is false.
(d) Assertion is false but Reason is true.

(x) Under which of the market forms can the firm charge different prices from different sets of consumers for the same commodity? [1]

(xi) The value of marginal propensity to save can never be zero. Give a reason to justify this phenomenon. [1]

(xii) Why does aggregate demand is measured not as the sum total of goods but as the sum total of planned expenditure on the goods during an accounting year? [1]

(xiii) If autonomous payments are higher than autonomous receipts, how can BOP be brought into balance? [1]

(xiv) What is the shape of demand curve in a monopoly? [1]

(xv) When does a situation of deficient demand arise in an economy? [1]

(xvi) Give one measure to overcome an inflationary gap. [1]

SECTION B – 32 MARKS

Question 2

(i) Because of cyclone in a coastal area, the sea level covers a lot of rice fields. This affects the productivity of land. How will it affect the supply curve of that region? Illustrate the same in a diagram. [2]

(ii) A consumer buys 80 units of good at a price of Rs. 4 per unit. When the price falls, he buys 100 units. If price elasticity of demand is -1, find out new price. [2]

Question 3

(i) The government of Country A has increased its defence spending by 10% in the latest budget while reducing tax rates to stimulate consumer spending. How might these changes affect the fiscal deficit of Country A and what impact it will have on its economy? [2]

(ii) Public expenditure helps in increasing the production of an economy. In this context, discuss any two points of importance of public expenditure. [2]

Question 4

(i) Complete the following table with the help of data given below: [2]

Output (Units)	Total Cost (Rs.)	Average Variable Cost (Rs.)	Average Fixed Cost (Rs.)	Marginal Cost (Rs.)
1	20	__	__	__
2	26	10	__	__
3	39	__	__	__

(ii) At what point does the marginal product curve cut the average product curve? Draw a diagram to show the effect. [2]

OR

(i) Draw a well labelled diagram to show TFC and TC curves. State the nature of each curve. [2]

(ii) Explain two causes of decreasing returns to a factor. [2]

Question 5

(i) Long-run equilibrium of the firm under perfect competition is only at the optimum output level. Explain. [2]

(ii) A car company 'X' offers free services upto 10000 km to the buyers of the cars, the other car company 'Y' also makes the same offer to its buyers. Identify and explain the feature of the competitive market indicated above. [2]

Question 6

(i) What is the reason for an indeterminate demand curve under oligopoly? [2]

(ii) Shut-down point is the situation where the firm covers only variable cost. Explain with the help of a diagram. [2]

Question 7

(i) What is the likely effect on the Balance of Payments if a country enters into a free trade agreement and imports more goods? [2]

(ii) State any four items of capital account of the balance of payments account. [2]

Question 8

(i) How would you treat the following items in estimating a country's national income? Give reason. [2]

(a) Free services provided at a government dispensary.

(b) Corporate tax paid by a firm

(ii) Outline any two precautions that should be taken in estimation of National Income by Value-added Method. [2]

OR

(i) Differentiate between Real Gross Domestic Product and Nominal Gross Domestic Product. [2]

(ii) Why are windfall gains not added in measuring National Income by Income Method? [2]

Question 9

In an economy planned investment exceeds planned savings. How will be equality between the two achieved? Explain. [4]

SECTION C – 32 MARKS

Question 10

(i) Explain the relationship between average total cost curve, average variable cost curve and marginal cost curve with the help of a diagram. [6]

(ii) Which stage of the Law of Variable Proportions will be considered as the stage of 'economic absurdity'? Explain with a reason. [2]

Question 11

(i) Why does the budget line slope downward? [2]

(ii) Explain consumer's equilibrium using indifference curve analysis. [6]

Question 12

(i) Discuss any two qualitative methods of controlling credit by the central bank in an economy. [4]

(ii) Calculate (a) Gross Domestic Product at Factor Cost by Expenditure Method and (b) National Income by Income Method: [4]

	(Rs. in Crore)
(i) Private final consumption expenditure	85
(ii) Net domestic capital formation	25
(iii) Consumption of fixed capital	2
(iv) Closing stock	10

(v) Opening stock	5
(vi) Government final consumption expenditure	10
(vii) Net exports	(-)5
(viii) Wages and salaries	80
(ix) Contribution of employers' to social security	10
(x) Operating surplus	20
(xi) Net factor income from abroad	(-)5
(xii) Net indirect taxes	10

OR

(i) Explain various categories of factor income in calculating the National Income by Income Method. [4]

(ii) From the following data, calculate the Gross National Product at Market Prices by (a) Income Method and (b) Expenditure Method: [4]

	(Rs. in Crore)
(i) Compensation of employees	400
(ii) Profits	250
(iii) Mixed income of self-employed	300
(iv) Rent	80
(v) Interest	70
(vi) Private final consumption expenditure	700
(vii) Net domestic capital formation	120
(viii) Consumption of fixed capital	100
(ix) Net exports	(-)10
(x) Government final consumption expenditure	350
(xi) Net indirect taxes	60
(xii) Net factor income from abroad	(-)10

Question 13

Read the passage given below and answer the questions that follow.

Post-covid Indian rupee depreciated at a fast rate.

Subject to stipulated rules and procedures US dollar can be purchased in India in exchange for Indian rupees. Rupee is not a legal tender out of India.

US Dollar, although not a legal tender, is generally accepted in economic transactions. Therefore, US dollar is referred to as international currency. The exchange value of US dollar in foreign exchange markets is determined by its demand and supply. Demand for foreign exchange arises from those persons who purchase some foreign good or service. Similarly, supply of foreign exchange generates from those persons who have sold some good or service to foreigners.

(i) Define the term foreign exchange. [2]

(ii) Identify the factors that determine demand and supply of foreign exchange. [2]

(iii) What do you mean by the term depreciation? [2]

(iv) How does appreciation of a currency affect international transactions of a country? [2]

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